

Defense Commissary Agency (DeCA)

Standard Operating Procedure: Returns & Discrepancy Management

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1. Purpose

This Standard Operating Procedure (SOP) establishes and standardizes the processes, responsibilities, documentation requirements, and decision authorities governing the handling of product returns, inbound shipment discrepancies, and vendor chargebacks within the Defense Commissary Agency (DeCA) distribution and retail network.

The purpose of this SOP is to:

- Protect DeCA's financial interests by ensuring accurate, timely identification and recovery of losses attributable to vendor non-compliance, shipping errors, or product quality failures;
- Maintain product safety and regulatory compliance in accordance with applicable federal food safety statutes and DoD policy, including mandatory escalation procedures for recalled or adulterated products;
- Ensure accurate inventory records across all distribution centers (DCs) and commissary locations through disciplined Warehouse Management System (WMS) transaction discipline;
- Provide a consistent, auditable, and fair process for vendor notifications, dispute resolution, and chargeback administration; and
- Support continuous improvement of supplier performance by capturing, analyzing, and reporting return and discrepancy data through defined Key Performance Indicators (KPIs).

This SOP supersedes all prior informal guidance and local practices relating to returns and discrepancy management within the DeCA supply chain. Adherence is

mandatory for all personnel identified in Section 2 (Scope) and Section 5 (Roles and Responsibilities).

2. Scope

This SOP applies to all DeCA distribution center (DC) receiving personnel, quality inspectors, returns coordinators, commodity buyers, contracting officers, Warehouse Management System (WMS) administrators, and vendor account managers involved in the receipt, inspection, disposition, and financial settlement of returned or discrepant merchandise.

Specifically, this SOP covers:

- **Customer/Commissary Returns:** Products returned by commissary patrons or commissary store managers to a DeCA distribution center due to defects, damage, recall, or patron dissatisfaction;
- **Inbound Shipment Discrepancies:** Shortages, overages, mis-shipments, temperature deviations, or quality failures identified at the point of receiving at a DeCA DC;
- **Vendor Chargebacks:** Financial debits issued against vendor accounts to recover costs associated with non-conforming shipments, returns processing, or non-compliance with DeCA vendor standards;
- **Food Safety Incidents:** Product holds, quarantine actions, and mandatory government notifications triggered by recalled lots, adulterated product, or confirmed food safety hazards; and
- **WMS Inventory Adjustments:** All system transactions required to maintain inventory accuracy following a return or discrepancy event.

This SOP does not apply to inter-DC transfers, excess inventory redistribution, or patron-level return transactions handled entirely at the commissary point of sale. Those processes are governed by separate DeCA retail operations guidance.

All personnel performing functions described herein must have completed DeCA-required training for their assigned role prior to independently executing any step of this procedure. Training requirements are maintained by the Supply Chain Operations Division and updated annually.

3. References

This SOP is issued pursuant to, and must be read in conjunction with, the following directives, regulations, and guidance documents:

Reference	Title / Description	Applicability
DeCA Directive 40-13	Supply Chain Quality and Vendor Compliance Management	Governing authority for vendor compliance, chargebacks, and quality standards across DeCA supply chain operations
FAR Part 46	Federal Acquisition Regulation - Quality Assurance	Federal contracting requirements for acceptance, rejection, and warranty of goods; basis for chargeback authority and dispute resolution
FAR 4.703	Contract File Retention Requirements	Records retention mandates applicable to all return, NCR, and chargeback documentation (3-year minimum)
DoD 4140.01	DoD Supply Chain Materiel Management Policy	DoD-level policy governing materiel management, disposition, and inventory accuracy within the defense supply chain
USDA FSIS Regulations (9 CFR Parts 300-599)	Federal Meat and Poultry Inspection Regulations	Mandatory regulatory requirements for handling, disposition, and

Reference	Title / Description	Applicability
		government notification involving meat, poultry, and egg products
FDA FSMA (21 U.S.C. § 2201 et seq.)	FDA Food Safety Modernization Act	Preventive controls, recall authority, and mandatory reporting requirements for food safety incidents involving FDA-regulated products
DeCA Vendor Compliance Manual Rev. 2026	DeCA Vendor Compliance Manual, Revision 2026	Vendor-facing standards, chargeback schedules, dispute procedures, and portal submission requirements; distributed to all active DeCA vendors
DeCA-SC-SOP-01	Inbound Receiving and Inspection SOP	Inspection procedures, temperature verification standards, and documentation requirements referenced in Sections 7 and 8 of this SOP

4. Definitions

The following terms and acronyms are used throughout this SOP. All personnel performing functions under this SOP are expected to be familiar with these definitions prior to execution.

Term / Acronym	Definition
Return Merchandise Authorization (RMA)	A unique alphanumeric identifier issued by the DeCA Returns Coordinator that authorizes the physical return of product to a DeCA distribution center. No product may be returned without a valid, pre-issued RMA number. The RMA number must appear on all outer packaging and accompanying documentation.

Term / Acronym	Definition
Non-Conformance Report (NCR)	A formal document created within the WMS and/or DeCA Procurement Portal recording a specific instance in which received goods fail to meet contractual specifications, quality standards, or labeling requirements. The NCR is the primary evidentiary record supporting a vendor chargeback.
Vendor Chargeback	A financial debit issued by DeCA against a vendor's account to recover the cost of goods, plus applicable handling fees, when a vendor is determined to be responsible for a product return, shipment discrepancy, or non-compliance event. Chargebacks are calculated and administered per Section 10 of this SOP.
Disposition	The final handling determination for returned or discrepant product. Disposition categories are: (1) Resale — product is returned to sellable inventory; (2) Donate — product is transferred to an authorized charitable organization (e.g., local food bank) where permitted; (3) Destroy — product is rendered unsalable and disposed of in accordance with applicable environmental and regulatory requirements.
Credit Memo	A formal financial document issued by DeCA Accounts Payable to the originating commissary or customer crediting the monetary value of an approved product return. Credit memos must be issued within 5 business days of confirmed disposition.
Reason Code	A standardized alphanumeric code (RC-01 through RC-10) assigned to each return or discrepancy event categorizing the specific nature of the product defect or shipment failure. Reason codes drive disposition decisions, chargeback applicability, and reporting analytics. See Section 6 for the full Reason Code table.
Discrepancy	Any variance between the product ordered (as reflected in the Purchase Order), the product invoiced by the

Term / Acronym	Definition
	vendor, and the product actually received and inspected at a DeCA distribution center. Discrepancies include, but are not limited to, quantity shortages or overages, item mis-shipments, quality failures, and labeling errors.
Short Shipment	A specific type of inbound discrepancy in which the quantity of product physically received at a DeCA DC is less than the quantity indicated on the vendor's Bill of Lading (BOL), Advance Ship Notice (ASN), or Purchase Order. Short shipments are documented using Reason Code RC-02.
Temperature Abuse	A condition in which temperature-controlled product (refrigerated or frozen) has been exposed to temperatures outside the contractually required or USDA/FDA-mandated range for sufficient duration to compromise product safety, quality, or regulatory compliance during transit or storage. Temperature abuse is documented using Reason Code RC-03 and may trigger mandatory food safety escalation per Section 11.
Bill of Lading (BOL)	A legal shipping document issued by the carrier that identifies the product, quantity, origin, and destination of a shipment. In the event of a discrepancy, the BOL must be endorsed (annotated) by the receiving inspector to document the variance before the carrier departs the facility.
WMS	Warehouse Management System — DeCA's enterprise inventory management platform used to record all receiving, return, disposition, and inventory adjustment transactions referenced in this SOP.

5. Roles and Responsibilities

The following table defines the primary responsibilities of each role involved in the returns and discrepancy management process. Personnel assigned to these roles are accountable for completing their assigned tasks within the timelines specified in this SOP and for maintaining the documentation required under Section 14 (Records and Retention).

Role	Organizational Unit	Primary Responsibilities
Returns Coordinator	Supply Chain Operations Division – DC Returns Office	Receives and reviews return requests submitted via the DeCA Customer Portal Issues RMA numbers within 24 hours of approved return request Coordinates physical receipt of returned product at DC Oversees disposition execution and communicates outcome to originating commissary Ensures credit memo is processed within 5 business days of final disposition Maintains the RMA log and all associated records
Quality Inspector	DC Quality Assurance Unit	Performs physical inspection of all returned and discrepant product per SOP-01 standards Assigns Reason Code based on inspection findings Completes and signs DeCA Form 1141-R for each discrepancy event Endorses BOL to document inbound discrepancies before carrier departure Makes initial disposition recommendation (Resalable / Donate / Destroy) Escalates food safety events to DC

Role	Organizational Unit	Primary Responsibilities
		Supervisor and Food Safety Officer per Section 11 Inspector IDs referenced in this SOP: INS-042, INS-017, INS-029
Buyer	DeCA Procurement Division	Receives NCR notifications via the DeCA Procurement Portal Reviews NCR details and purchase order history to validate chargeback eligibility Authorizes or recommends chargebacks below \$500 threshold Coordinates with Contracting Officer for chargebacks exceeding \$500 Tracks vendor dispute responses and communicates resolution outcomes
Contracting Officer (CO)	DeCA Contracting Division	Provides mandatory authorization for all chargebacks exceeding \$500 (per Section 10.2) Serves as final decision authority for disputed chargebacks Ensures chargeback actions comply with FAR Part 46 and applicable contract terms Documents all CO decisions in the official contract file
WMS Administrator	DC Information Technology / Operations	Creates and closes NCRs in the WMS per the timelines in Section 8 Executes inventory adjustment transactions upon confirmed disposition (return to stock, write-off, donation transfer) Applies product hold codes to quarantined items per Section 11 Generates WMS reports supporting KPI tracking per Section 13 Ensures all

Role	Organizational Unit	Primary Responsibilities
		WMS transactions are linked to the associated RMA or NCR number
Vendor Account Manager	DeCA Vendor Relations Office	Serves as the primary DeCA point of contact for vendor communications regarding NCRs and chargebacks Notifies vendors of NCRs and chargebacks via the DeCA Vendor Portal within 24 hours of NCR creation Receives and logs vendor dispute submissions Tracks dispute resolution timelines and escalates overdue disputes to the Contracting Officer Maintains vendor compliance performance records
Accounts Payable (AP)	DeCA Financial Operations Division	Issues credit memos to originating commissaries within 5 business days of confirmed disposition Deducts approved chargebacks from the next applicable vendor invoice per Section 10.5 Maintains credit memo and chargeback financial records per Section 14 Provides financial reconciliation data to the Supply Chain Operations Division for KPI reporting

6. Return Reason Codes

All return and discrepancy events must be assigned an authorized Return Reason Code (RC) by the Quality Inspector at the time of inspection. The Reason Code is entered into the WMS, recorded on DeCA Form 1141-R, and transmitted to the

vendor via the NCR notification. Reason Codes drive disposition eligibility, chargeback mandates, and KPI categorization.

The following table lists all authorized Reason Codes, their definitions, applicable disposition options, and chargeback mandate status. Inspectors may not assign codes outside this list without prior written authorization from the DC Quality Assurance Manager.

Code	Description	Detail / Inspection Criteria	Allowable Disposition(s)	Vendor Chargeback Mandatory?
RC-01	Customer Refused – Damaged Packaging	Patron or commissary refused product due to visibly damaged outer or inner packaging that may compromise product integrity. Inspector verifies damage is attributable to pre-shipment handling or transit, not patron use.	Resale (if contents intact); Destroy (if contents compromised)	YES — if damage attributable to vendor packing or carrier
RC-02	Short Shipment – Count Discrepancy	Physical count at receiving is less than quantity on BOL, ASN, or PO. Inspector counts to the lowest unit of measure. BOL must be endorsed prior to carrier departure.	N/A (no product to disposition); Chargeback for missing units	YES — mandatory for all verified shortages
RC-03	Temperature Abuse in Transit	Temperature recorder data, pallet probe	Destroy (primary); Donate only if	YES — mandatory; may include

Code	Description	Detail / Inspection Criteria	Allowable Disposition(s)	Vendor Chargeback Mandatory?
		readings, or product condition indicates exposure to temperatures outside contractually required range during transit. Must be documented with time/temperature readings on Form 1141-R. May trigger Section 11 escalation.	food safety officer confirms safe for human consumption	disposal cost recovery
RC-04	Freezer Burn on Arrival	Frozen product exhibits visible freezer burn, ice crystal formation, or dehydration consistent with temperature fluctuation or extended storage beyond contracted freshness date. Inspector documents extent of affected units.	Destroy (if unsalable); Donate (if safe, with DC Manager authorization)	YES — if vendor packing date confirms product was non-conforming at origin
RC-05	Mold / Spoilage	Product exhibits visible mold growth, spoilage, off-odor, or putrefaction rendering it	Destroy (mandatory; no donation permitted)	YES — mandatory; includes disposal and handling cost recovery

Code	Description	Detail / Inspection Criteria	Allowable Disposition(s)	Vendor Chargeback Mandatory?
		unfit for human consumption. Entire affected lot must be quarantined pending food safety review. Inspector immediately notifies DC Supervisor.		
RC-06	Wrong Item Shipped	Product received does not match the item number, description, UPC, or pack configuration specified on the Purchase Order. Inspector verifies via WMS PO lookup and documents discrepancy between ordered and received item.	Return to vendor (preferred); Destroy if return is not feasible and product is not DeCA-authorized	YES — mandatory; includes return freight cost if applicable
RC-07	Expiry Date Mismatch	Product expiration (best-by, use-by, or sell-by) date is earlier than the minimum shelf-life requirement specified in the applicable contract or DeCA Vendor Compliance Manual Rev. 2026.	Donate (if sufficient shelf life remains for safe consumption per CO approval); Destroy	YES — mandatory for all non-compliant expiry product

Code	Description	Detail / Inspection Criteria	Allowable Disposition(s)	Vendor Chargeback Mandatory?
		Inspector records actual expiry date and required minimum date on Form 1141-R.		
RC-08	Label Defect / Recalled Lot	Product bears a label with missing or incorrect mandatory information (allergen, nutrition, net weight), or the lot code has been identified in an active FDA or USDA recall notice. IMMEDIATE escalation to Section 11 food safety procedure is required when a recall is confirmed. Inspector must not release product under any circumstances .	Hold (mandatory pending regulatory guidance); Destroy (upon regulatory authorization)	YES — mandatory; includes all handling, hold, and disposal costs
RC-09	Packaging Defect – Leaking	Product packaging is leaking, compromising contents and/or creating a contamination hazard for adjacent product. Inspector	Destroy (primary); Resale only if secondary packaging fully protects product and inspector certifies no contamination risk	YES — if defect attributable to vendor packaging; NO if caused by carrier damage

Code	Description	Detail / Inspection Criteria	Allowable Disposition(s)	Vendor Chargeback Mandatory?
		assesses and documents extent of leakage damage, including impact on surrounding product units/cases.		
RC-10	Quality Below Specification	Product meets safety standards but fails to meet contractual quality specifications (color, texture, Brix level, fat content, USDA grade, etc.) as defined in the applicable contract or product specification sheet. Inspector documents specific quality metric and deviation on Form 1141-R.	Donate (if safe and charitable organization accepts); Destroy	CONDITIONAL — mandatory if specification is contractually binding; Buyer review required

⚠ Important: Reason Code Assignment Integrity

Quality Inspectors must assign the single most applicable Reason Code per return or NCR event. In cases where multiple defects exist, the code representing the highest safety risk or greatest financial impact shall take precedence. Multiple reason codes may be assigned only with DC Quality Assurance Manager approval, documented on Form 1141-R.

7. Return Authorization Procedure

The Return Authorization Procedure governs all product returns initiated by commissary stores or DeCA patrons through the official returns channel. No product may be returned to a DeCA distribution center without a valid, pre-issued Return Merchandise Authorization (RMA) number. Unauthorized returns will be refused at the DC receiving dock.

The procedure is as follows:

7.1 Return Request Initiation

The commissary store manager or authorized patron initiates a return request by submitting a return request form through the **DeCA Customer Portal** (portal.deca.mil/returns). The submission must include: commissary identifier, original order/purchase identifier, product SKU(s), quantity to be returned, brief description of the defect or return reason, and any supporting photographic evidence. The Portal automatically assigns a preliminary request tracking number (format: REQ-YYYY-NNNNN) and timestamps the submission.

7.2 Returns Coordinator Review and RMA Issuance

Upon receipt of the return request, the assigned Returns Coordinator reviews the submission for completeness and eligibility within **one (1) business day (24 hours)** of submission. The Coordinator verifies the product is within the eligible return window, the reason is consistent with an authorized Reason Code (Section 6), and the originating order is on record in the WMS. If approved, the Coordinator issues a unique **RMA number** (format: RMA-YYYY-NNNNN) via the Customer Portal. The RMA number, approved return quantity, DC destination address, and required packaging instructions are communicated to the requester electronically. If the request is denied, the Coordinator documents the denial reason in the Portal and notifies the requester.

7.3 Customer Shipment of Returned Product

The commissary or patron ships the approved product back to the designated DeCA DC using the carrier and packaging instructions provided with the RMA

confirmation. **The RMA number must be clearly marked on all outer cartons and on the accompanying packing slip.** Shipments received at the DC without a valid RMA number will be refused and returned to the sender at the sender's expense. The customer is responsible for ensuring product is packaged to prevent further damage in transit; additional damage sustained during return transit due to inadequate packing may reduce or eliminate credit eligibility.

7.4 Receipt and Inspection at Distribution Center

Upon arrival at the DC, returned product is received in a dedicated returns staging area, segregated from inbound vendor shipments. The Quality Inspector (INS-042, INS-017, or INS-029 as assigned) performs a full inspection per the standards established in DeCA-SC-SOP-01, including:

- Verification that the RMA number on packaging matches an active, open RMA in the WMS;
- Physical count and condition assessment of all returned units;
- Temperature probe verification for all temperature-sensitive products;
- Reason Code assignment based on observed condition; and
- Completion of **DeCA Form 1141-R** documenting all inspection findings, including inspector ID, date/time, RMA number, SKU, quantity, condition assessment, and assigned Reason Code.

7.5 Disposition Determination

Following inspection, the Quality Inspector makes a disposition determination based on the Reason Code, product condition, and the Disposition Decision Matrix in Section 9:

- **Resalable:** Product meets all quality, safety, and labeling standards and may be returned to DeCA inventory for resale. Requires Quality Inspector certification on Form 1141-R.
- **Unsalable - Donate:** Product is safe for human consumption but does not meet resale standards. Transfer to an authorized charitable recipient organization is initiated with DC Manager authorization.

- **Unsalable - Destroy:** Product cannot be resold or donated due to safety, regulatory, or quality grounds. Destruction is executed per applicable environmental regulations and documented with a Destruction Certificate signed by the Inspector and DC Manager.

7.6 WMS Update and Inventory Adjustment

The WMS Administrator processes the required WMS transaction on the same business day that the disposition determination is confirmed:

- **Return to Stock:** WMS transaction code **RTN-RSL** — units added back to available inventory at the DC.
- **Donate:** WMS transaction code **RTN-DON** — units transferred out to donation, reducing on-hand inventory with no credit to the vendor.
- **Destroy:** WMS transaction code **RTN-DST** — units written off inventory; Destruction Certificate attached to WMS record.

All WMS transactions must reference the associated RMA number. The WMS record closes the RMA upon transaction completion.

7.7 Credit Memo Issuance

Upon WMS transaction confirmation, the Returns Coordinator notifies the Accounts Payable (AP) team to process a **Credit Memo** for the originating commissary or customer. AP must issue the Credit Memo within **five (5) business days** of the disposition confirmation date. Credit is calculated at the original purchase price of the confirmed, accepted return quantity. Partial credits may be issued where only a portion of the returned quantity is approved. The Credit Memo number is linked to the RMA number in both the financial system and the WMS.

📌 **Timeline Summary - Return Authorization Procedure**

RMA Issuance: Within 24 hours of return request submission | **WMS Update:** Same business day as disposition confirmation | **Credit Memo:** Within 5 business days of disposition confirmation

8. Inbound Discrepancy Procedure

The Inbound Discrepancy Procedure applies to all variances identified during the standard receiving and inspection process at a DeCA distribution center. This procedure is triggered at the point of receiving and must be initiated on the same business day the shipment is received. All steps in this section are mandatory; no steps may be deferred without DC Manager written authorization.

8.1 Discrepancy Identification at Receiving

The Quality Inspector identifies a discrepancy during the standard receiving inspection conducted per **DeCA-SC-SOP-01**. A discrepancy exists whenever the physical condition, quantity, temperature, item identity, labeling, or quality of received product does not conform to the specifications of the associated Purchase Order, Bill of Lading, or Advance Ship Notice. The Inspector immediately segregates the affected product in the DC's designated discrepancy hold area and affixes a DeCA discrepancy hold tag to all affected pallets or cases.

8.2 Documentation - DeCA Form 1141-R and BOL Endorsement

The Inspector completes **DeCA Form 1141-R** documenting the specific nature of the discrepancy, including: PO number, ASN number, vendor name and ID, carrier name, BOL number, product SKU, description, quantity ordered, quantity received, quantity discrepant, and assigned Reason Code. **Critically, the BOL must be endorsed (annotated) by the Inspector prior to the carrier's departure from the DC facility.** BOL endorsement must state the nature and quantity of the discrepancy in clear terms (e.g., "RECEIVED 48 CASES, BOL STATES 60 CASES — SHORT 12 CASES — INS-042 — [DATE/TIME]"). Failure to endorse the BOL before carrier departure may impair DeCA's ability to recover losses from the carrier or vendor.

8.3 NCR Creation in WMS

The WMS Administrator creates a **Non-Conformance Report (NCR)** in the WMS **within the same business day** the discrepancy is identified. The NCR record includes all information from Form 1141-R, photographs of the discrepant product

(uploaded as attachments), the assigned Reason Code, the preliminary disposition recommendation, and the Inspector's employee ID. The NCR is assigned a unique system-generated NCR number (format: NCR-YYYY-NNNNN) that serves as the primary reference for all subsequent actions.

8.4 Buyer Notification

Upon NCR creation, the WMS automatically generates an alert to the assigned Buyer in the **DeCA Procurement Portal**. The Buyer receives the full NCR detail, including PO reference, product description, discrepancy quantity, Reason Code, and preliminary disposition recommendation. The Buyer reviews the NCR to confirm PO alignment, contractual quality requirements, and chargeback eligibility, and documents their review determination in the Portal. The Buyer's review must be completed within **two (2) business days** of NCR creation.

8.5 Vendor Notification

The Vendor Account Manager notifies the affected vendor through the **DeCA Vendor Portal** (vendor.deca.mil) within **24 hours** of NCR creation. The vendor notification includes: NCR number, PO number, shipment date, DC location, SKU and product description, discrepancy type and quantity, assigned Reason Code, photographic evidence, and a statement of DeCA's preliminary disposition and chargeback determination. Notification is time-stamped in the Vendor Portal and constitutes the official start of the vendor response window.

8.6 Vendor Response Period

The vendor has **five (5) business days** from the timestamp of the Portal notification to respond. The vendor may:

- **Accept the NCR:** Vendor acknowledges the discrepancy and accepts DeCA's proposed disposition and chargeback without dispute;
- **Submit a Dispute:** Vendor provides written counter-evidence (e.g., carrier temperature logs, independent inspection records, photographic evidence, weight certificates) through the Vendor Portal; or

- **Request an Extension:** Vendor may request one (1) 5-business-day extension, which must be approved in writing by the Vendor Account Manager.

If the vendor does not respond within the allotted window, the NCR is deemed accepted by default, and the chargeback proceeds without further notice.

8.7 Chargeback Issuance

A chargeback is issued in the following circumstances:

- Vendor accepts the NCR (including by default through non-response); or
- Vendor's dispute is reviewed and resolved in DeCA's favor by the Contracting Officer.

The chargeback is calculated per Section 10 of this SOP, authorized at the appropriate level (Buyer for amounts $\leq$ \$500; Contracting Officer for amounts $>$ \$500), and submitted to Accounts Payable for deduction from the next vendor invoice. The NCR is marked "Closed - Chargeback Issued" in the WMS and Procurement Portal.

Critical Requirement: BOL Endorsement

BOL endorsement before carrier departure is a time-sensitive, non-negotiable requirement. DC supervisors are responsible for ensuring that inspectors do not release the carrier until the BOL is properly endorsed for any discrepant shipment. Failure to obtain BOL endorsement may result in loss of chargeback and carrier liability claim rights.

9. Disposition Decision Matrix

The following matrix defines the authorized disposition categories, associated WMS transaction codes, financial treatment, chargeback trigger status, and required authorization level for each product condition outcome. Quality Inspectors and Returns Coordinators must apply this matrix uniformly for all return and discrepancy

events. Any disposition outside the parameters of this matrix requires written authorization from the DC Manager and the Supply Chain Operations Division Director.

Product Condition	Disposition Category	Disposition Action	WMS Transaction Code	Credit Issued to Customer?	Vendor Chargeback Triggered?	Required Sign-Off Level
Resalable — Meets all quality, safety, label, and freshness standards	Return to Stock	Product returned to available inventory at DC. WMS on-hand balance increased. Product may be picked and shipped to commissaries.	RTN-RSL	YES — full credit at original purchase price	CONDITIONAL — Yes if defect was vendor-attributable prior to return; No if return is patron preference	Quality Inspector (INS-042 / INS-017 / INS-029) certification on Form 1141-R
Unsalable - Donate — Unsafe for retail sale but safe for human consumption; applicable charitable recipient available	Donation Transfer	Product transferred to authorized charitable organization (food bank or similar). Transfer documented with charitable donation form signed by DC Manager. Recipient organization	RTN-DON	YES — credit at original purchase price (full or partial per approved quantity)	YES — mandatory chargeback to vendor for cost of goods if vendor-attributable defect	DC Manager written authorization; Quality Inspector food safety clearance; CO approval if chargeback >\$500

Product Condition	Disposition Category	Disposition Action	WMS Transaction Code	Credit Issued to Customer?	Vendor Chargeback Triggered?	Required Sign-Off Level
		receives product at no cost.				
Unsalable - Destroy — Unsafe for resale or donation; safety, regulatory, or quality grounds preclude any other use	Destruction	Product destroyed per applicable federal, state, and local environmental and regulatory requirements. Destruction Certificate completed and signed by Inspector and DC Manager. Certificate uploaded to WMS NCR/RMA record as permanent attachment.	RTN-DST	YES — credit at original purchase price	YES — mandatory chargeback including cost of goods PLUS handling and disposal fee (15% of cost per Section 10.1)	DC Manager and Quality Inspector co-signature on Destruction Certificate; CO mandatory authorization if total chargeback >\$500
Regulatory Hold — Recalled lot (RC-08) or product pending	Quarantine / Hold	Product placed in WMS quarantine hold. Physical segregation in	RTN-HLD	DEFERRED — pending regulatory resolution	DEFERRED — pending regulatory resolution ; chargeba	DC Food Safety Officer; DeCA Food Safety Division; Federal

Product Condition	Disposition Category	Disposition Action	WMS Transaction Code	Credit Issued to Customer?	Vendor Chargeback Triggered?	Required Sign-Off Level
regulatory guidance; disposition not yet determined		locked hold area. No movement permitted without DC Food Safety Officer and regulatory agency authorization. Section 11 escalation procedure activated immediately.			ck to be issued post-resolution	regulatory agency (FDA/USDA) as applicable

10. Vendor Chargeback Process

The Vendor Chargeback Process provides the mechanism by which DeCA recovers documented financial losses attributable to vendor non-compliance, shipment discrepancies, or product quality failures. All chargebacks must be calculated, authorized, and administered in strict accordance with this section, FAR Part 46, applicable contract terms, and the DeCA Vendor Compliance Manual Rev. 2026.

10.1 Chargeback Calculation

Chargebacks are calculated as follows:

- Base Amount:** The contracted cost of goods (as reflected in the applicable Purchase Order line item) for the quantity of product that is confirmed discrepant, returned, or destroyed due to vendor-attributable cause;

- **Handling Fee:** A flat rate of **fifteen percent (15%) of the Base Amount** is added to all chargebacks to recover DeCA's administrative, labor, and disposal costs associated with processing the non-conforming product; and
- **Additional Recovery (if applicable):** For RC-03 (Temperature Abuse) and RC-05 (Mold/Spoilage) events, documented third-party disposal costs may be added to the chargeback with Contracting Officer approval and supporting receipts.

Chargeback formula: Total Chargeback = (Unit Cost × Discrepant Quantity) + [15% × (Unit Cost × Discrepant Quantity)]

10.2 Authorization Thresholds

All chargebacks require documentation and authorization prior to issuance. The following authorization thresholds apply:

Chargeback Amount	Required Authorizing Official	Documentation Required
≤ \$500.00	Buyer	Signed NCR or Form 1141-R; Buyer approval notation in Procurement Portal
> \$500.00	Contracting Officer (CO)	Signed NCR or Form 1141-R; Buyer recommendation memorandum; CO written authorization memo placed in contract file

10.3 Vendor Dispute Rights

Upon receipt of a chargeback notification via the DeCA Vendor Portal, the vendor has **ten (10) business days** to submit a formal written dispute. The dispute must be submitted through the Vendor Portal and must include: the NCR number, a written statement of the basis for dispute, and all supporting evidentiary documentation (e.g., independent third-party lab results, carrier inspection reports, temperature data logs, photographic evidence). Disputes lacking sufficient supporting documentation will be summarily dismissed without further review. Verbal disputes are not accepted.

10.4 Dispute Escalation and Resolution

Vendor disputes are initially reviewed by the Vendor Account Manager and Buyer within **five (5) business days** of receipt. If the review team determines the dispute has merit, the chargeback may be reduced or withdrawn with Buyer authorization (if $\leq \$500$) or CO authorization (if $> \$500$). If the review team recommends denial of the dispute, or if the vendor requests escalation, the dispute is forwarded to the **Contracting Officer** for final resolution. The CO's decision is final and must be issued in writing within **ten (10) business days** of escalation. The CO's written determination is placed in the official contract file and uploaded to the Vendor Portal.

10.5 Chargeback Collection

Approved chargebacks are collected by deducting the chargeback amount from the vendor's **next scheduled invoice payment**. Accounts Payable applies the deduction automatically upon receipt of the Buyer or CO authorization. A remittance advice detailing the deduction is transmitted to the vendor through the Vendor Portal at the time of payment processing. If a vendor's invoiced amount is insufficient to cover the full chargeback in a single payment cycle, the remaining balance is carried forward and deducted from subsequent payments until the full chargeback amount is recovered.

Vendor Communication Courtesy

The Vendor Account Manager will provide vendors with a monthly chargeback summary statement via the Vendor Portal for all open and closed chargeback actions, regardless of dispute status. This promotes transparency and reduces the volume of informal vendor inquiries to Accounts Payable.

11. Food Safety Escalation

Certain return and discrepancy events constitute food safety emergencies requiring immediate escalation beyond the standard procedure timeline. This section

establishes mandatory escalation actions that take precedence over all other steps in this SOP. Personnel who identify a food safety trigger condition must initiate escalation immediately upon identification — no step in the standard procedure (Sections 7 or 8) may delay escalation actions.

11.1 Escalation Trigger Conditions

The following conditions automatically trigger the Food Safety Escalation procedure:

- **RC-08 — Recalled Lot:** Any product bearing a lot code, date code, or UPC that appears on an active FDA or USDA recall notice;
- **RC-03 — Confirmed Severe Temperature Abuse:** Temperature data indicating product was held at unsafe temperatures for a duration sufficient to create a public health risk (e.g., TCS foods above 41°F for >4 hours);
- **RC-05 — Mold/Spoilage with Potential Cross-Contamination:** Spoiled product identified in a manner suggesting contamination of adjacent product or DC environment; and
- Any product event for which the inspector has a reasonable, documented basis to believe a public health risk exists, regardless of the assigned Reason Code.

11.2 Immediate Actions (Within 1 Hour of Identification)

Upon identification of a food safety trigger condition, the Quality Inspector must complete ALL of the following within **one (1) hour**:

1. **Notify the DC Supervisor** verbally immediately upon identification. Follow up in writing (email or Portal message) within 30 minutes;
2. **Notify the DeCA Food Safety Officer** via the DeCA emergency food safety hotline and via email to the DeCA Food Safety Division;
3. **Initiate Product Hold in WMS:** The WMS Administrator applies hold code **RTN-HLD** to all affected product immediately, preventing any pick, ship, transfer, or disposition transaction until the hold is lifted by authorized personnel;

4. **Physically Quarantine the Product:** All affected product must be moved to a locked, segregated hold area. Signage must be affixed: "PRODUCT HOLD — DO NOT MOVE — FOOD SAFETY REVIEW IN PROGRESS"; and
5. **Preserve Evidence:** All packaging, labels, temperature recorder devices, and product samples must be preserved intact. No product may be opened, destroyed, donated, or moved without Food Safety Officer authorization.

11.3 Regulatory Notification (Within Required Statutory Timeframe)

The DeCA Food Safety Officer, in coordination with the DC Supervisor and the Returns Coordinator, determines whether mandatory regulatory notification is required and initiates such notification within the timeframes mandated by applicable law:

- **FDA-regulated products (FSMA):** Notification to FDA as required under 21 C.F.R. Part 117 and applicable FDA recall guidance;
- **USDA FSIS-regulated products (meat, poultry, egg):** Notification to USDA FSIS per 9 C.F.R. and applicable recall coordination procedures;
- **Vendor notification:** Vendor notified of the food safety hold via the Vendor Portal within 24 hours; and
- **Affected commissary notification:** All commissaries that may have received product from the same lot are notified by the DeCA Food Safety Officer to initiate shelf pulls and patron notification as directed.

11.4 Hold Release

The WMS product hold code (RTN-HLD) may only be removed upon written authorization from the DeCA Food Safety Officer, after confirming that all regulatory agency requirements have been satisfied and the appropriate disposition (typically Destroy) has been authorized. The hold release and final disposition are documented on Form 1141-R and uploaded to the WMS NCR record.

Failure to initiate the escalation actions in Section 11.2 within one (1) hour of identifying a food safety trigger condition constitutes a serious breach of this SOP and may result in disciplinary action, regulatory liability, and potential criminal exposure under federal food safety law. DC Supervisors are responsible for verifying that escalation was timely initiated. The 1-hour clock begins at the moment of identification, not at the time of Form 1141-R completion.

12. Example Returns Data

The following table presents ten (10) synthetic return transactions for the period covering DeCA Return IDs RET-2026-00101 through RET-2026-00110. These records are representative of the data maintained in the WMS Returns module and reflect the standard fields captured for each return event. Inspector IDs (INS-042, INS-017, INS-029), Reason Codes, disposition outcomes, credit amounts, and chargeback flags are included for illustrative and training reference purposes.

Return ID	Order ID	Inspector ID	SKU	Product Description	Qty Returned	Reason Code	Condition	Disposition	Credit (USD)	Chargeback Issued?
RET-2026-00101	PO-2026-44201	INS-042	SKU-091144	Canned Green Beans, 14.5 oz, Case/24	6 cases	RC-01	Damaged outer carton; cans intact	Resale	\$54.72	NO
RET-2026-00102	PO-2026-44198	INS-017	SKU-203887	Frozen Chicken Breast, 5 lb	12 cases	RC-03	Temperature recorder show	Destruction	\$216.00	YES

Return ID	Order ID	Inspector ID	SKU	Product Description	Qty Returned	Reason Code	Condition	Disposition	Credit (USD)	Chargeback Issued?
				bag, Case/6			s 47°F for 6 hrs in transit			
RET-2026-00103	PO-2026-44215	INS-029	SKU-058821	Whole Milk, 1 Gallon, Case/4	18 cases	RC-07	Best-by date 5 days below contract minimum shelf-life requirement	Donate	\$162.00	YES
RET-2026-00104	PO-2026-44177	INS-042	SKU-117654	Sliced Bread, 20 oz, Case/12	4 cases	RC-05	Visible mold on 35% of units; suspected cross-contamination	Destroy	\$38.40	YES
RET-2026-00105	PO-2026-44251	INS-017	SKU-334902	Frozen Ground Beef, 3 lb pkg, Case/8	20 cases	RC-04	Severe freezer burn; dehydration across	Destroy	\$480.00	YES

Return ID	Order ID	Inspector ID	SKU	Product Description	Qty Returned	Reason Code	Condition	Disposition	Credit (USD)	Chargeback Issued?
							s >50 % of units			
RET-2026-00106	PO-2026-44263	INS-029	SKU-409011	Olive Oil, Extra Virgin, 17 oz, Case/12	3 cases	RC-09	Leaking bottles; oil contaminating adjacent cases	Destruction	\$107.64	YES
RET-2026-00107	PO-2026-44189	INS-042	SKU-551237	Orange Juice, 59 oz carton, Case/8	10 cases	RC-06	Apple juice received; product does not match PO item number	Return to Vendor	\$149.60	YES
RET-2026-00108	PO-2026-44302	INS-017	SKU-678844	Diced Tomatoes, 14.5 oz, Case/24	2 cases	RC-02	BOL states 15 cases received; physical count confirms 13 cases — short 2 cases	N/A (Short Shipment)	\$19.20	YES

Return ID	Order ID	Inspector ID	SKU	Product Description	Qty Returned	Reason Code	Condition	Disposition	Credit (USD)	Chargeback Issued?
RET-2026-00109	PO-2026-44318	INS-029	SKU-720093	Baby Formula, Powder, 12.4 oz, Case/6	8 cases	RC-08	Lot code L240601A identified in active FDA recall notice #2026-R-0044	Hold / Destroy (pending FDA authorization)	\$624.00	YES — escalated per Section 11
RET-2026-00110	PO-2026-44334	INS-042	SKU-815506	Fresh Strawberries, 1 lb clam shell, Case/12	5 cases	RC-10	USDA Grade B received; contract specifies USDA Grade A only	Donate	\$55.00	CONDITIONAL — Buyer review pending

Note: All Return IDs, Order IDs, SKUs, product descriptions, quantities, and financial values in this table are synthetic data generated for training, reference, and SOP illustration purposes only. They do not represent actual DeCA transactions.

13. Key Performance Indicators (KPIs)

The Supply Chain Operations Division will monitor and report the following Key Performance Indicators on a monthly basis to assess the effectiveness of the returns and discrepancy management program. KPI data is drawn from WMS reports,

Procurement Portal NCR logs, and AP financial records. Monthly KPI reports are submitted to the Director, Logistics & Distribution, and distributed to DC Managers and Vendor Account Managers. Vendors with persistent negative KPI impact will be subject to enhanced compliance monitoring per the DeCA Vendor Compliance Manual Rev. 2026.

KPI Metric	Definition	Measurement Frequency	Performance Target	Data Source	Responsible Owner
Return Rate by Category	Percentage of units returned (by product category) relative to total units shipped to commissaries in the same period. Calculated separately by Reason Code category for diagnostic purposes.	Monthly	$\leq 2.0\%$ per product category	WMS Returns Module; Commissary Sales Reports	Returns Coordinator
Chargeback Collection Rate	Percentage of issued chargebacks (by dollar value) successfully collected from vendors within 60 days of issuance, including amounts collected through invoice deduction.	Monthly	$\geq 95.0\%$ of total chargeback value issued	AP Financial System; Vendor Portal Chargeback Log	Accounts Payable / Vendor Account Manager
NCR	Average	Monthly	≤ 5	WMS NCR	WMS

KPI Metric	Definition	Measurement Frequency	Performance Target	Data Source	Responsible Owner
Closure Time	number of business days from NCR creation in the WMS to NCR closure (disposition confirmed and chargeback issued or NCR withdrawn). Measured across all NCRs closed in the reporting period.		business days average closure time	Module	Administrator / Buyer
Credit Memo Issuance Time	Average number of business days from confirmed disposition (WMS transaction completed) to credit memo issuance by Accounts Payable to the originating commissary or customer.	Monthly	≤ 5 business days average issuance time	AP Financial System; WMS RMA Module	Accounts Payable
Vendor Dispute Resolution Time	Average number of business days from vendor dispute submission	Monthly	≤ 15 business days average resolution time	Vendor Portal Dispute Log; Procurement Portal	Vendor Account Manager / Contracting Officer

KPI Metric	Definition	Measurement Frequency	Performance Target	Data Source	Responsible Owner
	(Vendor Portal timestamp) to final resolution decision (Buyer or CO written determination), across all disputes resolved in the reporting period.				
Food Safety Escalation Compliance Rate	Percentage of food safety trigger events (Section 11) for which all mandatory escalation actions were completed within the required 1-hour window, as verified by DC Supervisor log and Portal timestamps .	Monthly	100% compliance — zero tolerance for late escalation	DC Supervisor Escalation Log; WMS Hold Timestamps	DC Manager / Quality Inspector Supervisors
RMA Issuance Time	Average number of business hours from return request submission (Customer Portal	Monthly	≤ 24 hours average issuance time	Customer Portal RMA Log	Returns Coordinator

KPI Metric	Definition	Measurement Frequency	Performance Target	Data Source	Responsible Owner
	timestamp) to RMA issuance by the Returns Coordinator				

KPI results that fall below target thresholds for two consecutive reporting periods will trigger a formal Corrective Action Plan (CAP) process, to be initiated by the Supply Chain Operations Division Director within 10 business days of the second consecutive failure.

14. Records and Retention

All records generated under this SOP constitute official DeCA government records and are subject to mandatory retention requirements in accordance with **FAR 4.703** and applicable DeCA records management policy. Records must be maintained in a manner that ensures their integrity, accessibility, and protection from unauthorized disclosure in accordance with the FOUO classification of this document.

Record Type	Primary Location	Minimum Retention Period	Responsible Custodian
RMA Log (all issued RMAs, status, and outcomes)	DeCA Customer Portal / WMS RMA Module	3 years from RMA closure date	Returns Coordinator
DeCA Form 1141-R (all completed inspection forms)	WMS NCR/RMA Record (electronic attachment); DC Quality Assurance files (hard copy)	3 years from form completion date	Quality Inspector / DC QA Manager
Non-Conformance Reports (NCRs)	WMS NCR Module; DeCA Procurement Portal	3 years from NCR closure date	WMS Administrator / Buyer
Vendor	Vendor Portal	3 years from	Accounts Payable /

Record Type	Primary Location	Minimum Retention Period	Responsible Custodian
Chargeback Records (all issued chargebacks, authorizations, and dispute decisions)	Chargeback Log; AP Financial System; CO Contract File (for amounts >\$500)	chargeback collection date (or disposition of dispute, whichever is later)	Contracting Officer
Credit Memos	AP Financial System; Customer Portal	3 years from credit memo issuance date	Accounts Payable
Destruction Certificates	WMS NCR/RMA Record (electronic attachment); DC Manager records	3 years from destruction date	DC Manager
Food Safety Escalation Records (Section 11 events)	WMS Hold Records; DeCA Food Safety Division Files; DC Supervisor Escalation Log	5 years (extended retention due to regulatory requirements)	DC Food Safety Officer / DeCA Food Safety Division
Vendor Dispute Records (all submissions and resolutions)	Vendor Portal Dispute Log; Procurement Portal; CO Contract File	3 years from dispute resolution date	Vendor Account Manager / Contracting Officer
BOL Endorsements (endorsed copies of discrepant shipment BOLs)	WMS NCR Record (scanned attachment); DC receiving files	3 years from endorsement date	DC Receiving Supervisor
Monthly KPI Reports	Supply Chain Operations Division SharePoint; Distribution to Director, Logistics & Distribution	3 years from report date	Supply Chain Operations Division

Records scheduled for disposition at the end of their retention period must be disposed of in accordance with DeCA Records Management policy and applicable National Archives and Records Administration (NARA) guidance. Records related to ongoing litigation, investigations, or regulatory proceedings must be placed on legal hold and are exempt from scheduled disposition until the matter is resolved.

① **FOUO Handling Reminder**

All records generated under this SOP are classified **UNCLASSIFIED // FOR OFFICIAL USE ONLY (FOUO)**. They must be stored, transmitted, and disposed of in accordance with DoD FOUO handling requirements. Records must not be shared with unauthorized personnel or released outside DeCA without proper authorization. Questions regarding records handling should be directed to the DeCA Records Management Officer.

15. Revision History

Version	Effective Date	Summary of Changes	Author / Prepared By	Reviewed By	Approved By
1.0	August 1, 2026	Initial Release. Establishes the complete DeCA Returns and Discrepancy Management Standard Operating Procedure, including Return Authorization Procedure (Section 7), Inbound Discrepancy Procedure (Section 8), Disposition Decision Matrix (Section 9), Vendor Chargeback	Supply Chain Operations Division	Supply Chain Operations Division	Director, Logistics & Distribution

Version	Effective Date	Summary of Changes	Author / Prepared By	Reviewed By	Approved By
		Process (Section 10), Food Safety Escalation Procedure (Section 11), KPI framework (Section 13), and Records Retention requirements (Section 14). Supersedes all prior informal guidance and local DC practices relating to returns and discrepancy management.			

Future revisions to this SOP will be assigned sequential version numbers (1.1, 1.2, etc., for minor revisions; 2.0 for major restructuring). All revisions require review by the Supply Chain Operations Division and approval by the Director, Logistics & Distribution. Revised versions will be distributed electronically to all personnel identified in Section 2 (Scope) within 10 business days of the effective date, and will be posted to the DeCA Supply Chain Operations intranet page.

Document Approvals

By signing below, the designated officials certify that this Standard Operating Procedure has been reviewed for accuracy, completeness, and compliance with

applicable regulations, and is hereby approved for implementation effective August 1, 2026.

Signature - Reviewed
By Supply Chain Operations
Division Date:

Signature - Approved
By Director, Logistics &
Distribution Date:

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Defense Commissary Agency (DeCA) | Document No.: DeCA-SC-SOP-05 |
Revision: 1.0 | Effective: August 1, 2026

Supply Chain Operations Division | Next Review: August 1, 2027

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